DC Infotech & Communication Ltd

Concall tracker · Q2 2027 · 11 Nov 2026

1. Snapshot

A Mumbai IT distributor and solutions seller. It buys networking gear, video-conference and meeting-room kit (mainly Samsung LED walls) and cyber-security tools from global brands and sells, installs and supports them for Indian companies, government offices and data-centre builders through about 2,000 dealer points. It makes its money on a thin trading margin plus a slowly growing slice of software and service fees.

Number	Value	What it means
Market cap	Rs 544 cr	A small company; the whole business is valued at about two-thirds of one year's sales.
FY26 revenue	Rs 735 cr	Total sales for the year, up about a third on FY25.
Last 12 months revenue	Rs 815 cr	Still growing fast; Sep 2026 quarter sales were up about two-fifths on a year ago.
FY26 net profit	Rs 21 cr	Profit after tax, up nearly half on the year before.
Operating margin	about 5%	Keeps about five rupees of every hundred in sales before interest and tax. Thin, as distributors are.
Borrowings (Sep 2026)	Rs 123 cr	More than double the Rs 51 cr of March 2025. Growth is being paid for with loans.
Interest (Sep 2026 quarter)	Rs 3.9 cr	Up from Rs 1.4 cr a year ago, eating into profit growth.
ROCE	23%	Good return on the money used in the business, helped by low fixed assets.

2. Concall coverage

DC Infotech holds one call a year, after its full-year results. Four calls were read, spanning three years. There is no call for the Sep 2026 quarter, so the latest numbers come from the results table and the newest commentary from the June 2026 call.

Quarter	Date	Transcript read?
Q4 FY23	May 2023	Yes, skimmed for promises
Q4 FY24	Jun 2024	Yes, skimmed for promises
Q4 FY25	Jun 2025	Yes, read in full
Q4 FY26	4 Jun 2026	Yes, read in full
Q2 FY27 results	Nov 2026	No call held; numbers only

Latest concall highlights — Q4 FY26 (4 Jun 2026)

- FY26 revenue Rs 737 cr, up about a third, and profit Rs 21 cr, up nearly half. Growth that fast for a distributor is unusual.
- The Rs 1,000 cr revenue goal, first floated in May 2023, is still the headline: 'we are on track to doing it'.
- New: a three-year buying deal with Tata Communications, a credit rating upgrade (BBB- to BBB), and the UAE arm is live with Etihad as a client.
- The Middle East push has stalled since February 2026 because of the regional conflict: 'not able to get something very notable on table till now'.
- Plan for FY27: fill gaps in its AI data-centre kit (servers, storage, power, cooling, racks), chase bigger projects, and lift software and service share from about a fifth to about a quarter of sales.

Business mix & capacity

- Domestic vs export: almost all sales are in India. The UAE arm is new and small; no split given.
- Product mix: networking about 30%, meeting-room and video kit about 36%, cyber security about 27% of revenue. Samsung alone is about Rs 150-175 cr of sales.
- Capacity utilization: not relevant, it's a trading and services business with no factories. Working capital is the real limit: debtors run about 104 days.

3. Earning trigger thesis

The earnings driver is simple: Indian companies and data-centre builders are spending on networks, security and meeting-room tech, and DC Infotech sells into all three. Sales have grown about a fifth to a third every year for three years. The second leg, which management keeps promising, is a richer mix of software and services that would lift margins. That leg hasn't shown up yet: margins sit near five percent, the same band as three years ago.

Trigger	What management said	Evidence so far	Time horizon	Strength
Sales scale-up to Rs 1,000 cr	'We are on track' (Jun 2026)	Rs 815 cr in the last 12 months, Sep quarter up about two-fifths	FY27-FY28	Strong: growth is real and steady
Higher-margin services mix	Services to go from about a fifth to a quarter of sales (Jun 2026)	Margin about 5%, barely up from 4% in FY23	2-3 years	Weak: promised every year, little progress
AI data-centre kit	Add compute, storage, power and cooling to the basket (Jun 2026)	Only talk so far	FY27 onward	Unproven
UAE / Gulf	UAE arm live, Etihad and Sangfor deals (Jun 2026)	Stalled by the regional conflict	Unclear	Weak

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Borrowings more than doubled to fund working capital.
New business	Yes	UAE subsidiary operational, Etihad local partner status; AI data-centre basket being built (Jun 2026).
Margin up	No	Asked for a margin target, the MD said 'obviously better than this' but gave no number (Jun 2026).
New management	No	Same MD and CFO across all four calls.
New capacity	No	No plants; it's a distributor.
Big orders	Yes	Three-year procurement arrangement with Tata Communications (Jun 2026).
Turnaround	No	Not applicable, it's been profitable throughout.
Promoter buying	No	Promoter stake slipped from about 64% to 62%; no buying mentioned.

Single concrete driver: Steady sales growth from Indian companies buying networking, meeting-room and cyber-security kit, with a new Tata Communications supply deal.

3c. Margin bridge

Operating margin is about 5% now, against about 4.5% a year ago and about 4% in FY23. The small rise came from more cyber-security and service sales. Management calls it lasting but won't put a number on it, and the Q4 FY26 dip was blamed on a one-time currency loss on imports (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2023	Rs 1,000 cr revenue in a couple of years; near double-digit margins by FY26 'my wish'	FY26 revenue Rs 735 cr; margin about 5%	Partly
Jun 2024	Rs 1,000 cr 'dream' for FY26, won't commit	Missed FY26 but growth kept up	Partly
Jun 2025	Double the services share in 2-3 years; expand into the Gulf	Services still about a fifth; Gulf stalled	Too-early
Jun 2025	Revenue to keep growing fast	FY26 up a third, Sep 2026 quarter up about two-fifths	Delivered
Jun 2026	Services to a quarter of sales; AI basket complete in FY27	No update until the next annual call	Too-early

The growth story has been steady for three years and the sales numbers back it up. The margin story is the weak spot: it was close to double digits in 2023, then 'better than this' in 2026, with no figure. The Rs 1,000 cr target keeps sliding a year. Holding only one call a year means fewer chances to check promises.

5. Bottom line

Durable earning trigger? → YES

There's a real, live driver: sales keep growing well above twenty percent a year from enterprise IT spend, and the Tata Communications deal adds to it. The catch is quality: it's a thin-margin trading business, and growth now leans on more borrowing.

Management consistent? → MAYBE

Growth promises were kept. Margin promises were not, and the big revenue target keeps moving a year out. The Gulf plan stalled for reasons outside their control. With only one call a year, the record is thin.

6. Checkpoints for next quarter

- Sales keep growing faster than a fifth a year in the Dec quarter
- Borrowings stop rising faster than sales
- Operating margin holds at five percent or better

Not investment advice. Do your own due diligence.